COURT / ESTATE FILE NUMBER	2501-09028
COURT	COURT OF KING'S BENCH OF ALBERTA
JUDICIAL CENTRE	CALGARY
	IN THE MATTER OF THE BANKRUPTCY AND INSOLVENCY ACT, RSC 1985, C B-3, AS AMENDED AND IN THE MATTER OF THE RECEIVERSHIP OF 2755857 ALBERTA LTD.
APPLICANT	UCAPITAL – ULOAN SOLUTIONS INC.
RESPONDENT	2755857 ALBERTA LTD.
DOCUMENT	**REPLY BRIEF OF THE RECEIVER**
ADDRESS FOR SERVICE AND CONTACT INFORMATION OF PARTY FILING THIS DOCUMENT	MILLER THOMSON LLP Barristers and Solicitors 525-8th Avenue SW, 43rd Floor Calgary, AB, Canada T2P 1G1 Attention: James W. Reid / Pavin Takhar Telephone: 403-298-2418 / 403-298-2432 Email: jwreid@millerthomson.com/ ptakhar@millerthomson.com File No. 0289127.0002

JUDICIAL CENTRE OF CALGARY
FILED DIGITALLY
2501 09028
Sep 29, 2026
3:30 PM
CLERK OF THE COURT

TABLE OF CONTENTS

I. INTRODUCTION....1
II. FACTS....2
III. ISSUE....3
IV. LAW AND ARGUMENT....3
A. The CNRL Claim Should Not Be Allowed....3
V. CONCLUSION....10
TABLE OF AUTHORITIES....11

I. INTRODUCTION

1. This Reply Brief of Law is submitted by Alvarez & Marsal Canada Inc. ("**A&M**"), in its capacity as Court-appointed receiver and manager (the "**Receiver**") of the undertakings, properties and assets of 2755857 Alberta Ltd. ("**ResidualCo**") is filed in response to the Application of Canadian Natural Resources Limited ("**CNRL**") filed September 23, 2026 (the "**Application**") and CNRL's Bench Brief of Law filed September 23, 2026 (the "**CNRL Brief**").

2. CNRL asks the Court to excuse its failure to comply with a Court-ordered Claims Procedure (defined herein) and permit a claim filed more than five months after the Claims Bar Date (defined herein).

3. This is not a case of an unsophisticated creditor who lacked notice or inadvertently missed a deadline. CNRL is one of Canada's largest and most sophisticated commercial entities. At all times throughout the receivership proceedings it was represented by counsel and actively participated in matters relating to cure costs. CNRL ultimately negotiated directly with 269 Corp (defined herein) regarding those cure costs and pursued a consent judgment against 269 Corp. for payment of those cure costs. In doing so, CNRL elected not to monitor the receivership proceedings and it did not take any steps to preserve a contingent claim or make a placeholder claim through the Claims Procedure.

4. CNRL's failure to make a contingent or placeholder claim was not the product of mistake or inadvertence. Rather, it was the result of a deliberate commercial decision to pursue recovery from 269 Corp. instead of preserving its rights through the Court-approved Claims Procedure.

5. Having pursued that strategy and to date having failed to recover from 269 Corp., which is an operating, going-concern entity, CNRL now seeks to shift the consequences of its decision onto the receivership estate and the stakeholders who complied with the Claims Procedure Order. The law does not support such relief.

6. The equitable considerations articulated in the jurisprudence overwhelmingly favour finality, certainty, and the enforcement of Court-ordered claims processes.

7. The Receiver has, in accordance with the Claims Procedure Order, provided a Notice of Disallowance regarding the CNRL claim, as it was submitted past the Claims Bar Date and the claim of CNRL is with 269 Corp., not ResidualCo or its estate.

II. FACTS

8. The factual background is set out in the Fourth Report of the Receiver, dated September 8, 2026 (the "**Fourth Report**") and the Supplemental Report to the Fourth Report of the Receiver, dated September 15, 2026 (the "**Supplemental Report** together with the Fourth Report, the "**Reports**").

9. Any capitalized terms otherwise not defined herein shall have the meaning ascribed to them in the Fourth Report. A summary of the relevant facts is described below.

10. On June 2, 2025, the Court of King's Bench of Alberta granted a receivership order whereby, effective June 3, 2025, the Receiver was appointed receiver and manager of CLEO Energy Corp. ("**Cleo**").[1]

11. On November 14, 2025, the Receiver obtained an Order authorizing and approving the Receiver to complete the Transaction contemplated by the SPA and granting the Revised RVO in respect of the Transaction.[2] The Application for the Revised RVO was served on CNRL and its counsel on November 5, 2025.[3]

12. On February 10, 2026, the Receiver obtained an Order (the "**Claims Procedure Order**") approving a claims procedure to determine the claims of creditors and establishing a claims bar date to prove such claims (the "**Claims Procedure**"). The Application for Claims Procedure Order, which included a draft form of the claims package was served on CNRL and its counsel on February 2, 2026, and February 3, 2026.[4]

13. On February 12, 2026, the Receiver commenced the Claims Procedure by sending notice to all Claimants.[5] The Receiver did not send a Claim Package to CNRL as they were not a Known Claimant pursuant to a Settlement Agreement entered into between CNRL and the purchaser of Cleo, 2698902 Alberta Corp. (the "**269 Corp.**").

14. The Claims Bar Date under the Claims Procedure was 5:00 pm on March 31, 2026.[6]

---

[1] Fourth Report at para 1.
[2] Fourth Report at para 5.
[3] Affidavit of Marica Ceko, sworn November 12, 2025 at paras 3 and 5.
[4] Affidavit of Marica Cekos, sworn February 5, 2025 at paras 2 and 4.
[5] Fourth Report at the Receiver at para 33.
[6] Claims Procedure Order at para 2(f).

15. On September 11, 2026, CNRL submitted a proof of claim to the Receiver (the "**CNRL Claim**").[7]

16. CNRL did not submit a proof of claim to the Receiver prior to the Claims Bar Date because the Pre-Filing Balance was to be satisfied by 269 Corp. rather than through the Claims Procedure.[8]

17. CNRL informed the Receiver that it submitted the CNRL Claim 164 days after the Claims Bar Date because 269 Corp. failed to comply with its obligations under both the Settlement Agreement and the Consent Order, and CNRL's efforts at enforcing the Settlement Agreement to date have been unsuccessful. [9]

18. On September 11, 2026, the Receiver issued a notice of disallowance to CNRL (the "**Notice of Disallowance**").[10] The Notice of Disallowance disallowed the CNRL Claim on the basis that: (i) it was submitted to the Receiver on September 11, 2026, which is 164 days after the Claims Bar Date; and (ii) it relates to amounts owed to CNRL by 269 Corp., and not ResidualCo, pursuant to the Settlement Agreement and the Consent Order.

19. On September 17, 2026, CNRL served the Receiver with a Notice of Dispute to the Notice of Disallowance.[11]

III. ISSUE

20. The issue to be addressed is whether the CNRL Claim should be admitted as a valid claim in the Claims Procedure notwithstanding it was filed after the Claims Bar Date.

IV. LAW AND ARGUMENT

A. <u>The CNRL Claim Should Not Be Allowed</u>

21. The Court possesses discretion to permit a late-filed claim. However, that discretion is equitable in nature and must be exercised judicially having regard to the circumstances of the case.

---

[7] Supplement to the Fourth Report at para 7.
[8] Supplement to the Fourth Report at para 7a.
[9] Supplement to the Fourth Report at para 9.
[10] Supplement to the Fourth Report at para 10 and Appendix C.
[11] Affidavit of Jelena Molnar, sworn September 22, 2026 ("**Molnar Affidavit**") at para 24 and Exhibit R.

22. In *Blue Range*, the Court of Appeal of Alberta identified the relevant considerations for admitting a late filed claim, including:

    (a) was the delay caused by inadvertence and if so, did the claimant act in good faith;

    (b) what is the effect of permitting the claim in terms of the existence and impact of any relevant prejudice caused by the delay;

    (c) if relevant prejudice is found, can it be alleviated by attaching appropriate conditions to an order permitting late filing; and

    (d) if relevant prejudice is found which cannot be alleviated, are there any other considerations which may nonetheless warrant an order permitting late filing.[12]

23. The Court's discretion must also be informed by the fundamental insolvency principles of certainty, finality, and the orderly administration of estates. Court-approved claims procedures are not merely administrative conveniences. They are essential tools that permit receivers, creditors, regulators, and other stakeholders to ascertain liabilities, negotiate resolutions, and distribute estate assets with confidence and transparency to all creditors and stakeholders.

24. If sophisticated creditors are permitted to disregard claims bar dates and seek relief only after alternative recovery efforts prove unsuccessful, the integrity of claims procedures in insolvency proceedings would be materially undermined.

Inadvertence and Good Faith

25. When reviewing the first *Blue Range* criterion, "inadvertent" includes carelessness, negligence, accident, and is unintentional. It does not support a creditor "lying in the weeds" and seeking to secure some advantage by late filing.[13]

26. CNRL characterizes its failure to file the CNRL Claim as inadvertent, however the evidence demonstrates otherwise.

27. CNRL's failure to file its CNRL Claim before the Claims Bar Date was a deliberate strategic decision rather than inadvertence. As recognized in *SemCanada*, a creditor who knowingly elects to pursue an alternative recovery strategy cannot later characterize that

[12] *Re Blue Range Resource Corp*, 2000 ABCA 285 ("***Blue Range***") at para 41.
[13] *Re UBG Builders Inc*, 2016 ABQB 472 ("***UBG***") at para 26.

decision as inadvertence merely because the strategy failed.[14] CNRL pursued recovery from 269 Corp. for all cure costs related to Cleo.[15]

28. Similarly, the Court in *UBG* declined to permit a late claim when the creditor knew of its claim but did not file within the claim period as it instead took a different strategic step. This Court in *UBG* found that the creditor's failure to file a contingent claim might have been careless or negligent; but nonetheless, the failure was not inadvertent or unintentional.[16] This Court found that if the creditor knew or could have known that it may not be able to make arrangements with the new purchaser and the creditor still did not file a proof of claim, the failure could not have been unintentional or inadvertent.[17]

29. In *UBG,* when the creditor was unable to make a deal with the new purchaser, the creditor later sought to file a claim in the insolvency proceedings. The Monitor opposed the creditor's position and argued that the creditor took a calculated risk.[18] Similar to situation in *UBG,* CNRL elected to pursue a business arrangement with 269 Corp. It's arrangement with 269 Corp. has not proved successful to date and it is now pivoting in its strategy by filing a late claim.

30. CNRL made a strategic choice that recovery from 269 Corp. was preferable to participating in the Claims Procedure. Further, it made a bargain with 269 Corp. that satisfied the Pre-Filing Balance for the purposes of the Claims Procedure. That strategy may have appeared commercially sensible at the time given that CNRL was to receive 100% of its claim in a shorter period, and there was uncertainty in the timing and amount of distributions for cure costs recoveries at the time of entering into the Settlement Agreement. The fact that the strategy to date has been unsuccessful does not transform that choice into inadvertence.

31. The equitable relief recognized in *Blue Range* is intended to address genuine mistakes, oversights, and circumstances beyond a creditor's control. It is not intended to relieve sophisticated parties from the consequences of deliberate commercial decisions.

32. CNRL advises that the prospect of recovery as against 269 Corp. is remote.[19] It is inferred that this is why CNRL now files the CNRL Claim. CNRL now knows if it had submitted a

---

[14] *Re SemCanada Crude Company (Celtic Exploration Ltd. #2)*, 2012 ABQB 489 ("***SemCanada***") para 52.
[15] Molnar Affidavit at paras 12-14.
[16] *UBG* at para 40.
[17] *UBG* at para 44.
[18] *UBG* at para 31.
[19] Molnar Affidavit at paras 18 to 20.

claim within the time period established by the Claims Bar Date it may have received 100% of its claim. This situation is like *BA Energy* where a creditor changed the nature of its claim after the Claims Bar Date when it realized it could do better as an unsecured creditor.[20] This Court in *BA Energy* again found this hindsight outcome cannot be considered an inadvertence.

33. CNRL acknowledges that it was no longer actively monitoring developments in the Receivership Proceedings after entering the Settlement Agreement.[21]

34. CNRL was still served with the application for Claims Procedure Order and the filed form of Order, which included a creditor package. CNRL's choice to not participle in the Claims Procedure is not inadvertence, it was a business decision.

35. Notwithstanding that the Receiver may have known about the Pre-Filing Balance of CNRL prior to the Revised RVO, that claim was dealt with by the Settlement Agreement. The Receiver had no knowledge that CNRL wished to participate in the Claims Procedure. It is normal course in insolvency proceedings that a party will submit a placeholder claim giving notice of its contingent or unknown claim. The failure of CNRL to do the same cannot be excused.

36. CNRL submits that the Receiver has been aware of the arrears due and owing and cannot be considered to have been lying in the weeds. This is not correct. The Receiver knew that CNRL had made an arrangement directly with 269 Corp. to satisfy the Pre-Filing Balance. The Receiver then worked extensively with the other creditors as there was no reason for the Receiver to believe that CNRL had any further interest in the receivership estate.

37. The actions of CNRL cannot be considered an inadvertence. Accordingly, the first discretionary factor weighs against the Court overturning the Notice of Disallowance and accepting the late filed CNRL Claim.

Prejudice

38. The timing of the late claim with respect to the stage in the proceedings is a key element in determining whether any prejudice will be suffered by parties.[22]

---

[20] *Re BA Energy Inc*, 2010 ABQB 507 at para 31.
[21] Molnar Affidavit at para 15.
[22] *Re BA Energy Inc*, 2010 ABQB 507 at para 49, *Blue Range* at para 36.

39. Materiality of a claim[23] and making stakeholders aware of any late claims are also factors a Court will consider on whether prejudice will be found.[24]

40. Consideration of prejudice is not restricted to prejudice to other creditors, but also requires consideration of prejudice to the debtor company or other interested parties.[25]

41. There is prejudice to the Receiver, ResidualCo, the AER and the Municipalities.

42. On the eve of an Order seeking, among other things, a final distribution to creditors, approval of the Final Statement of Receipts and Disbursements, and discharge of the Receiver, CNRL filed the CNRL Claim. This late filed claim arises after months of difficult negotiations between the Receiver, the AER and the Municipalities regarding priority and entitlements to the remaining funds in the estate.[26] There was finality reached between these priority creditors for a distribution.

43. The British Columbia Supreme Court in *West Bay* found prejudice is not inconsequential when it may disrupt delicate negotiations which had been undertaken, and the matter was at a long final end but for the late claim.

> [35] There is, in my view, prejudice in the sense that this has been a long process and we are finally at the point, but for this claim, where the process may be brought to an end. So there is an issue of delay. In addition, this is a disputed claim and the very substantial claims of the owners were settled on the basis of representations with respect to the financial state of affairs as they existed. Dealing with this claim would change that state of affairs. This is a claim in the order of possibly $100,000, I am advised. That is before one looks at the professional fees in relation to dealing with it, and while that may be *de minimus* in the sense of the overall magnitude of all of the claims put together, it is not inconsequential in the sense of the delicate negotiations that have gone on to bring us to the place where we are today with the settlement of the other claims.
>
> [36] So, in my view, there is prejudice, and it is not a prejudice that I can see any reasonable way of alleviating. In addition, this is delay that is substantial. I may have had a very different view with respect to the exercise of discretion if we were dealing with this matter last September. That would have been before the settlement of the claims and very shortly after the situation had arisen, but we are

[23] Blue Range, supra note at para 37.
[24] BR at para 39.
[25] *Re BA Energy Inc*, 2010 ABQB 507 at para 49, citing *Blue Range Resources at para 36.*
[26] Fourth Report at para 43.

> now many months down the river and so I have concluded that I am not going to exercise my discretion to permit a late filing with respect to this claim.[27]

44. In respect of materiality, if accepted, the CNRL Claim would reduce the payments to the AER and Municipalities by 24%. The fact that creditors may receive less money if a late claim is accepted in and of itself is not prejudice,[28] however given the CNRL Claim is so large in comparison to the remaining estate funds available for distribution, these represent such a change in the bargain developed in the settlement among the AER and the Municipalities that the late CNRL Claim is material and prejudicial. Should the CNRL Claim be allowed, it is unclear whether there will still be an agreed upon distribution, which may extend these receivership proceedings further.

45. When assessing prejudice, Court look to the question of whether a creditor by reason of the late filings lose a realistic opportunity to do anything that they otherwise might have done.[29] The settlement was reached between the AER and Municipalities without the knowledge of CNRL's claim. It is highly possible that the significant reduction in funds would have resulted in an entirely different arrangement. This is not similar to *Blue Range* where creditors were fully informed about the potential for late filed claims.[30] There was no similar understanding with regard to the CNRL Claim.

46. The prejudice factor weighs against the Court overturning the Notice of Disallowance and accepting the late filed CNRL Claim.

The Prejudice Cannot Be Alleviated by Conditions on Any Late Filing Order

47. The prejudice described above cannot be alleviated by applying terms to any order permitting the acceptance of the late filed claim.

48. Significant time, costs and efforts have been undertaken to administer the Claims Procedure and ultimately arrive at the proposed distribution of remaining estate funds. The Receiver, the AER and the Municipalities had extensive negotiations over several months to get to an agreement for the proposed distribution.

49. The effect of any allowance of the CNRL Claim is that there is uncertainty in the Receivership Proceedings, including whether or not there is agreement on any final

---

[27] *Re West Bay Sonship Yachts Ltd.*, 2007 BCSC 1553 at paras 34-35.
[28] Blue Range Resource Corp at para 40,
[29] Blue Range Resource Corp. 2000 ABCA 285 ("*Blue Range* or *BR*"), at para 40.
[30] Blue Range at para 40.

distribution and thus whether the Receiver may be discharged. This cannot be dealt with by any Order overturning the Notice of Disallowance.

Other Considerations

50. It is neither fair nor equitable to set aside the Notice of Disallowance and approve the late filed claim of CNRL.

51. To allow a creditor with full knowledge of the Claims Procedure to ignore the Claims Bar Date and file a significant, late claim, disrupts a negotiated settlement and may unnecessarily extend these Receivership Proceedings.

52. CNRL has no good or satisfactory reason to offer as to why it failed to file a contingent claim except that it was no longer monitoring the Receivership Proceedings.

53. The policy reasons that emphasize the need for certainty and finality in an approved claims procedure and fair treatment to all creditors outweigh the prejudice to CNRL of disallowing a late claim.

The Settlement Agreement and Consent Order released ResidualCo

54. CNRL argues that neither the Settlement Agreement nor the Consent Order expressly released ResidualCo. That submission misses the point.

55. The Receiver does not contend that the Settlement Agreement contains an express release of ResidualCo. Rather, the significance of the Settlement Agreement and the Consent Order is that they demonstrate CNRL's election to pursue the collection of the Pre-Filing Balance from 269 Corp instead of participating in the Claims Procedure.

56. CNRL contends that "cure costs" must be paid current by the purchaser of contractual assignment.[31] CNRL negotiated a direct contractual obligation from 269 Corp. to satisfy the Pre-Filing Balance, which aligns with the requirement of a purchaser to pay cure costs. CNRL negotiated this with 269 Corp. It is unclear to the Receiver how this commercially transferred liability would jointly remain with ResidualCo.

[31] CNRL Brief at para 29.

57. In this case the payment of cure costs to facilitate the assignment of a contract was an obligation taken on by 269 Corp. The liability did not transfer to ResidualCo. If there is an agreed assignment of the obligation, then the claim of CNRL is with 269 Corp.

58. The converse would place CNRL in a materially better position than other creditors. Under CNRL's approach, it would retain the benefit of a direct contractual payment obligation from 269 Corp. and still preserve a full claim against the ResidualCo estate for the same indebtedness, as if the estate is a guarantor of the arrangement between CNRL and 269 Corp. That would afford CNRL multiple avenues of recovery unavailable to other creditors and effectively allow CNRL to improve its position through private arrangements negotiated without the Receiver being party.

59. CNRL seeks to preserve multiple recovery sources for the same debt, while other creditors are required to look solely to the Claims Procedure and the ResidualCo estate. Permitting this would undermine the fairness, finality, and certainty that the Claims Procedure Order.

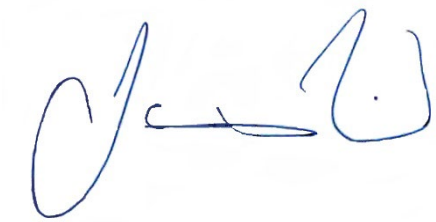
60. The Settlement Agreement and Consent Order may not contain an express release of ResidualCo for the CNRL Claim, however, by the nature of the agreements they act as a release of ResidualCo. The CNRL Claim is not with ResidualCo but is with 269 Corp.

V. CONCLUSION

61. The Receiver requests that this Honourable Court dismiss the Application to overturn the Notice of Disallowance and confirm the late claim filed by CNRL is barred in accordance with the Claims Bar Date established by the Claims Procedure Order.

ALL OF WHICH IS RESPECTFULLY SUBMITTED THIS 25th DAY OF SEPTEMBER 2026.

MILLER THOMSON LLP

Per: 

James W. Reid / Pavin Takhar
Counsel for the Respondent,
Alvarez & Marsal Canada Inc., in its capacity as Receiver of 2755857 Alberta Ltd. and not in its personal or corporate capacity

TABLE OF AUTHORITIES

Tab No.	Authority
1.	*Re Blue Range Resource Corp*, 2000 ABCA 285
2.	*Re UBG Builders Inc*, 2016 ABQB 472
3.	*Re SemCanada Crude Company (Celtic Exploration Ltd. #2)*, 2012 ABQB 489
4.	*Re BA Energy Inc*, 2010 ABQB 507
5.	*Re West Bay Sonship Yachts Ltd.*, 2007 BCSC 1553